COURSE

Cambridge IGCSE Business (0450 / 0264)

Growth and economies of scale

1 Understanding business activity · 1.3 Enterprise, business growth and size; 4.4 economies of scale

Revision for 1 Understanding business activity: each firm works it out on its own deals.

Class	Topic
Cambridge IGCSE Business (0450 / 0264)	**Growth and economies of scale**

THE LESSON

Setup — 2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Bulk order saving	TASK 2 Economies of scale

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Rank cost per car	TASK 4 Unit cost per car	B2B deal

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Branch or takeover	TASK 6 Bigger yard saving	B2B deal

Final questions — 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

One big order.

Saved on the whole order?

WORK OUT THE NUMBER · EXAMPLE FIGURES

List price per car	**£17,000**
Discount on big orders	**5%**
Cars in the big order	**11 cars**

METHOD

Saved = cars × discount × list price

11 × 5% × £17,000 = £9,350

Why: Each car saves £850. The order saves £9,350.

Task 2

ROUND 1

Your firm doubles in size.

Which two are economies of scale?

PICK TWO

- ✔ **Bulk discounts from suppliers**
- ✔ **Cheaper loans as a bigger firm**
- ○ Higher rent for a bigger site
- ○ Slower decisions
- ○ Staff feel less valued

Why: Bulk buying and cheaper finance cut the cost per car.

Task 3

ROUND 2

Three dealers: total costs and cars sold.

Order by cost per car, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£200,000 for 80 cars**
2. **£90,000 for 30 cars**
3. **£50,000 for 10 cars**

Why: £2,500, £3,000, £5,000 a car.

Task 4

ROUND 2

A month of sales.

Unit cost: cost per car sold?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Fixed costs, a month	**£3,600**
Variable costs, a month	**£133,200**
Cars sold a month	**8 cars**

METHOD

Unit cost = (fixed costs + variable costs) ÷ cars sold

(£3,600 + £133,200) ÷ 8 = £17,100

Why: Unit cost is all the costs shared between the cars.

Task 5

ROUND 3

You want to grow with little risk: one more branch paid from profit, or a takeover on a big loan.

Which should you choose, and why?

PICK A OR B AND GIVE A REASON

- ○ A takeover on a big loan
- ✔ **One more branch from profit**

Why: Growing from profit avoids a big debt and a firm you do not know.

Task 6

ROUND 3

A bigger yard?

Fall in cost per car?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Total costs now	**£157,500**
Cars sold now	**15 cars**
Total costs, big yard	**£277,200**
Cars sold, big yard	**28 cars**

METHOD

Fall = cost per car now – cost per car in the big yard

£157,500 ÷ 15 = £10,500; £277,200 ÷ 28 = £9,900

Why: The bigger yard cuts the cost of each car by £600.

Final questions

6
questions for each pupil

159
Level 2 Business questions

6
of them on growth and economies of scale

The game draws 6 questions on this topic.

1 Which action is an example of organic growth for a motor retailer?
Opening another branch with its own money.

2 A dealer group combines branch orders and negotiates a lower unit price from a supplier. What is the direct benefit?
Lower cost per part.

3 A dealer group expands rapidly and decisions slow because branches and head office communicate poorly. What is this an example of?
A diseconomy of scale.

4 An entrepreneur opens a branded vehicle-rental outlet using the parent company's name and system in return for fees. What arrangement is this?
A franchise.

5 A dealer buys an established repair chain instead of building new sites itself. What is a main potential advantage of this external growth?
Faster access to operating sites, customers and skilled staff.

6 Before the CEO opens a second branch, what should be checked?
Demand, finance and staffing.